

3. Are you frugal?

You probably predicted the outcome. Dr. South responded with three noes, while Dr. North responded in true PAW fashion, with three yeses. Consider the frugal orientation of Dr. North. He stated emphatically, for instance, that he never bought a suit that was not offered at a discount or a special price. This is not to suggest that Dr. North is poorly dressed. Nor does he wear cheap suits. Rather, he purchases quality clothing, but not at full price and never on impulse. This behavior was part of his socialization process as a youth:

When I was going to school, my wife taught. We had a small income.... Even then we always had a rule ... to save—even then we saved. You can't invest without something.... The first thing is to save.

Even when I was eleven years old, I saved my first \$50 from working in a grocery store. It's just like today ... only today the number of zeros change.... More zeros, but it's the same rule, same discipline.

You must take advantage of investment opportunities.... You have to have something to take advantage of excellent opportunities.... It's part of my background.

Dr. South reported having just the opposite orientation. How much did he and his family spend on clothing during the year prior to our interview? About \$30,000 (see [Table 3-2](#)). Thus, the Souths spend nearly as much on clothing each year as the average American household earns in total—that is, \$33,000.

TABLE 3-2
CONSUMPTION HABITS: THE NORTHS VS. THE SOUTHS

CONSUMPTION CATEGORY ANNUAL AMOUNTS SPENT